PRIORITY 15 OF 33 · SCORE 3.1

Environmental Protection Agency

EPA spends mainly through grants: state revolving funds for water, and the large 2022 Inflation Reduction Act programs. Its biggest such program, the $20B Greenhouse Gas Reduction Fund, became a political fight over alleged fraud. EPA terminated the grants, and the full D.C. Circuit ruled on 2026-08-04 that it likely did so unlawfully. A neutral, evidence-based screen of EPA grantees and subgrantees would be useful to either side, but the topic is politically charged and needs careful framing.

INVESTIGATIONS WE PROPOSE

EPA-1	New nonprofits with large GGRF and Solar for All awards (facts only, given the litigation). **First prototype.**
EPA-2	Subgrant chains with shared officers.
EPA-3	Contractor screen on revolving-fund construction.

EXPOSURE

- $17B in outlays and $57B in budgetary resources in FY2026, much of it multi-year grant money.
- Risks: pass-through subgrants to new nonprofits, unsupported costs, and contractors on revolving-fund projects.
- EPA does not report a high-risk improper payment program.

PUBLIC DATA WE USE

- **USAspending grants and subawards** for EPA programs.
- **State revolving fund project lists** (published by states).
- **SAM.gov** entities and exclusions; IRS Form 990 data for nonprofit grantees; EPA OIG reports.

HOW WE DETECT IT

1. **New-nonprofit grantees:** recipients formed shortly before award, with little revenue history on Form 990, receiving large sums.
2. **Subgrant chains:** money that passes through several entities with shared officers before reaching a project.
3. **Contractor screen** on revolving-fund construction.

FIRST PROTOTYPE

A grantee profile for EPA's largest recent grant programs joining USAspending, SAM.gov and Form 990 data, with facts only and no fraud labels.

SCORECARD

Fraud savings identified
Pending

Phase 1 window
Weeks 10–13
Jan 18, 2027 to Feb 12, 2027

Workstream
Shared screens

FY2026 outlays
$17.1B · budget rank 21

Leads go to
EPA OIG, Grants and Debarment

WHY PRIORITY 15

Exposure	●●●○○
Public data	●●●●○
SBA method fit	●●●○○
Actionability	●●○○○

OUR REVIEW, DELIVERED WEEK 13

Grantee profile for the Greenhouse Gas Reduction Fund, Solar for All and state revolving fund projects: entity age, Form 990 history, subgrant chains and contractor screen on SRF construction. Facts only, no fraud labels, given the litigation.

Every lead goes to an Inspector General or DOJ as a referral package with sources and caveats. Nothing is published.

WHAT WE ASK OF EPA

Phase 2 data: Subrecipient financial reports, timesheets.

What it enables: Unsupported costs, stipend fraud.

Access route: Each OIG.

LIMITS

Litigation and politics make "fraud" claims sensitive; present findings as risk indicators. Subaward reporting is incomplete.

SOURCES

- AP via KSAT: appeals court rules EPA wrongly terminated $20B fund (Aug 2026)
- USAspending agency profiles (FY2026 outlays)

Scores and plans are our judgment from public sources. Risk indicators are leads for Inspectors General or DOJ, not accusations.

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